Type MS · Change between two values, absolute or percentage

Answer 1 of 18 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 1 of 18 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 1 of 18 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 1 of 18 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

Type MS · Change between two values, absolute or percentage

Answer 1 of 18 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Change between two values, absolute or percentage

Answer 1 of 18 · Question 1 part e · 2 marks

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Change between two values, absolute or percentage

Answer 2 of 18 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **C** – Tertiary	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **A** – Rent	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	We are aware that there is no correct answer to this item. Because of this, all candidates will be awarded 1 mark for this question 1 (a) (iii). An error was made with the multiple-choice distractors. We take our responsibility of ensuring the accuracy of our assessments very seriously and we are reviewing candidate responses to ensure no one is disadvantaged.	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO2 = 1 mark** **D** – Could charge lower prices	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **B** – Reinvested profit	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **A** – 4.03%	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 2 of 18 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for correct definition of crowdfunding. • Raising money from many people for a new project via the internet **(1).**	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for correct definition of branding. • A name/symbol/design that identifies and differentiates a product from other products **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a correct example of a diseconomy of scale in the context of the business. • Communication between *Yellow*'s clothing factory and the retail shops could become difficult in different countries **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark

Type MS · Change between two values, absolute or percentage

Answer 2 of 18 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a.vi in this mark scheme extract

1 (e)	**AO2 = 2 mark** 252 x .17 **(1)** = 42.84 252 + 42.84 = 294.84 **(1)** **OR** 252 x 1.17 **(1)** = 294.84 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	**Answer**		**Mark**
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business having loyal customers, plus 2 further marks for explaining this advantage for a maximum of 3 marks. • An advantage will be repeat custom **(1)** if customers are loyal they will only shop at that business **(1)** which could increase market share/revenue **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.		**(3)**

Type MS · Change between two values, absolute or percentage

Answer 2 of 18 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a.vi in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The quality of the T-shirts will be better. • Reduction in costs of making the T-shirts. **AO3** • *Yellow*'s reputation will be enhanced leading to higher sales. • There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Change between two values, absolute or percentage

Answer 2 of 18 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark

Type MS · Change between two values, absolute or percentage

Answer 3 of 18 · Question 3 part c · 2 marks

2019 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of revenue. • The income over a period of time from the sales of goods **(1)**. • Price x sales **(1)**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *Tata Motor Company* would want to use an overdraft, plus 1 further mark for linking it to the context of the question. • *Tata Motor Company* would need an overdraft to overcome a shortfall in funds **(1)** which means if it needs funds to purchase additional tyres the money will be available **(1)**. **NB** Do not accept a reason that is not in the context of *Tata Motor Company.* **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 42 839 – 18 441 = 24 398 **(1)** 24 398 ÷ 18 441 x 100 = 132.30% **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 3 of 18 · Question 3 part c · 2 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company's* revenue has increased year on year. • *Tata Motor Company* can use these figures to compare them with other vehicle manufacturers. **AO3** • *Tata Motor Company* could invest in designing and manufacturing new cars. • *Tata Motor Company* could adjust its prices to increase its yearly revenue.	**(6)**

	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Change between two values, absolute or percentage

Answer 3 of 18 · Question 3 part c · 2 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – you are able to obtain the information directly from the people about the cars they want and the price they are prepared to pay. • **Option 2** – secondary research is much easier to collate from other car manufacturing websites and reports. **AO3** • **Option 1** – this helps *Tata Motor Company* gather information that is relevant and can help in designing and pricing the next cars to be manufactured. • **Option 2** – and will not take *Tata Motor Company* as long to gather the information it requires. **AO4** • **Option 1** – although gaining this information is important for *Tata Motor Company* it is very costly in time and man power. • **Option 2** – the data it collects may not provide the information it requires.	**(9)**

Type MS · Change between two values, absolute or percentage

Answer 3 of 18 · Question 3 part c · 2 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Change between two values, absolute or percentage

Answer 3 of 18 · Question 3 part c · 2 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Change between two values, absolute or percentage

Answer 4 of 18 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is B - Shares are traded on the stock exchange** A is not correct because a plc is not controlled by the government C is not correct because a plc can have more than 50 shareholders D is not correct because there is no restriction in transfer of shares	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is C – Finance** A is not correct because Human resources looks after people B is not correct because Marketing identifies customers' needs D is not correct because Production is making goods	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is A - 12.5%** B is not correct because Total equals £1 200 000 and 20.8% - Business 4 C is not correct because 25% = £300 000 – Business 1 D is not correct because 29.2% = £350 000 – Business 5	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 4 of 18 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 · extract 2 of 6 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is B - More funds taken out than are in the account** A is not correct because borrowing regular amounts is a loan C is not correct because money lent by many people is 'just giving' D is not correct because a loan for repayment is a loan	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is D - 2.53%** A is not correct because calculation worked out on Cash assets not Total assets B is not correct because percentage correct but not minus calculation wrong way round C is not correct because calculation worked out using 2016-2017 figure not 2015-2016 figure	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO1 = 1 mark** **The only correct answer is C - Job description** **A** is not correct because a Business plan is not in recruitment **B** is not correct because Induction training is after recruitment **D** is not correct because Job enrichment is after recruitment	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 4 of 18 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 · extract 3 of 6 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of social enterprise. • A business whose profits are used to benefit it and the community (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of globalisation. • Companies operating internationally across the world (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason why *Emirates* uses competition pricing in the context of the business. • To attract more people to fly with *Emirates* and not its competitors (1). • As *Emirates* flies to 180 destinations consumers do not find it necessary to choose other airlines (1). **Accept any other appropriate response.**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 4 of 18 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 · extract 4 of 6 · find part a.v in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 26 – 30 (1) = –4 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • One factor is called a hygiene factor (1) workers can become demotivated (1) if hygiene factors such as pay are not met (1). • The other factor is motivator (1) employees gain achievement in their job (1) which allows then to grow and develop (1). Answers that list two factors with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 4 of 18 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 · extract 5 of 6 · find part a.v in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Comparison of finances from different routes can be made from year to year. *Emirates* can make decisions on whether routes continue. **AO3** • Decisions can then be made whether to reduce costs or change certain strategies. • The figures can also inform *Emirates* what action it might need to take in coming years.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Change between two values, absolute or percentage

Answer 4 of 18 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 · extract 6 of 6 · find part a.v in this mark scheme extract

Question Number	Answer	Mark

Type MS · Change between two values, absolute or percentage

Answer 5 of 18 · Question 1 part a.v · 1 mark

2021 JUN · Paper 02 · extract 1 of 7 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 5 of 18 · Question 1 part a.v · 1 mark

2021 JUN · Paper 02 · extract 2 of 7 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 5 of 18 · Question 1 part a.v · 1 mark

2021 JUN · Paper 02 · extract 3 of 7 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 5 of 18 · Question 1 part a.v · 1 mark

2021 JUN · Paper 02 · extract 4 of 7 · find part a.v in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 5 of 18 · Question 1 part a.v · 1 mark

2021 JUN · Paper 02 · extract 5 of 7 · find part a.v in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 5 of 18 · Question 1 part a.v · 1 mark

2021 JUN · Paper 02 · extract 6 of 7 · find part a.v in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Change between two values, absolute or percentage

Answer 5 of 18 · Question 1 part a.v · 1 mark

2021 JUN · Paper 02 · extract 7 of 7 · find part a.v in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Change between two values, absolute or percentage

Answer 6 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B** Partnership A A sole trader is only one person C Public Corporation is a large business run by many D Public Limited Company has directors and can be quite a large business	**(1)**

Question Number	Which **one** of the following would show a business its cash flow forecast? Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **A** Cash inflows and outflows B Money owed to its creditors is a debt and is not a forecast C Net cash flow is the difference between money in and money out D Opening and closing balances are actual amounts and not a forecast	**(1)**

Question Number	Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **C** 411.19 A 20.59 (20.58 + 1) B 205.60 (20.58 x 9.99) D 411.60 (20.58 x 10.00 x 2)	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 6 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following functional areas would a skilled machinist work in? Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** Production A Finance deals with the money side of the business B Human Resources deals with recruitment D Marketing deals with advertising the products	(1)

Question Number	What is the percentage decrease in the price of the *Cadbury* Crunchie? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **D** 8.42% A 0.92% (0.87 ÷ 0.95) B 1.09% (0.95 ÷ 0.87) C 8.00% (0.95 - 0.87)	(1)

Question Number	Which **one** of the following is an example of secondary market research? Answer	Mark
1 (a)(vi)	**AO1 - 1 mark** **B** Market Report A Telephone Survey is primary research C Test Marketing is primary research D Focus Group is primary research	(1)

Question Number	Define the term **personal savings.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **personal savings.** • Money that belongs to an individual not a business **(1)**	(1)

Type MS · Change between two values, absolute or percentage

Answer 6 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part a.v in this mark scheme extract

Question Number	Define the term **sole trader.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **sole trader.** • A business owned by a single person **(1)**	**(1)**

Question Number	State **one** reason why *Cadbury* might pay its UK employees above the minimum wage. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *Cadbury* pays its UK employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Cadbury* and not move to a competitor such as Rowntree's to earn additional money **(1)** • Employees are less likely to take time off from producing chocolate bars if they are paid well **(1)** **NB** Do not accept a reason that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 6 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part a.v in this mark scheme extract

Question Number	Calculate the selling price of the chocolate cake. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 6.50 x .20 = 1.30 **(1)** 6.50 + 1.30 = 7.80 **(1)** **OR** 6.50 x 1.20 **(1)** = 7.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for businesses if banks reduce their interest rates. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage for a business if the banks reduce their interest rates, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • This means that if a business took out loans **(1)** monthly repayments would be lower **(1)** leaving more funds for other business expenses **(1)** • If the interest rates are reduced, then customers may have more funds available **(1)** to spend on goods/products **(1)** thus increasing the turnover of businesses **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 6 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part a.v in this mark scheme extract

Question Number	Analyse **two** factors that could influence *Cadbury* when locating a new factory. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** AO2 • *Cadbury* may need to move to a location where there are skilled employees, such as cake designers and biscuit bakers • Locating near to motorways or railways means that cocoa can be delivered to *Cadbury* factories using a variety of methods AO3 • If *Cadbury* locates near to a pool of skilled employees they require, employees will be willing to work at *Cadbury* as they will not have far to travel • This means that the cocoa will arrive in time for the production of *Cadbury* products	(6)

Type MS · Change between two values, absolute or percentage

Answer 6 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part a.v in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Change between two values, absolute or percentage

Answer 6 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part a.v in this mark scheme extract

Question Number	State **one** item of information that an applicant would include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*. Answer	Mark

Type MS · Change between two values, absolute or percentage

Answer 7 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **C** Cash flow A – a mortgage is a loan B – break-even does not show money in and out of a business – it is the point at which total costs and revenue are the same D – Profit and loss – profit is money left after sales and loss is when there is less money made than it cost	**(1)**

Question Number	Which **one** of the following could a person complete when applying for a job? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **A** Application form B – Shortlisting is the process of deciding which applicants to interview C – Job description gives of the job for which applicants can apply D Person specification gives details of the type of person required for the job	**(1)**

Question Number	Which **one** of the following is the correct statement? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** Loss of 550 000 A – Total costs has incorrectly been calculated using revenue + variable costs + fixed costs B – Cash inflow has incorrectly been calculated by doing variable costs minus fixed costs D – Profit is incorrect as this calculates revenue minus variable costs	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 7 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 · extract 2 of 6 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is a benefit of being a franchisee? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** **B** Selling an established brand A – You cannot choose your own suppliers as a franchise C – You would still have to pay interest on any bank loans whether a franchisee or not D – You do not have complete control of the business if you are a franchisee the franchisor does	**(1)**

Question Number	Which **one** of the following is the percentage increase from 2019 to 2020? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** **D** 6% A – is 2.31 ÷ 38.5 = 0.06% B – is 40.81 ÷ 38.5 = 1.06% C – is 40.81 – 38.5 = 2.31%	**(1)**

Question Number	Which **one** of the following functional areas could help employees who had a problem with their wage? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** **B** Finance A – Production is making goods C – Marketing is about identifying, anticipating and satisfying customer requirements profitably D – Sales is selling the goods to customers	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 7 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 · extract 3 of 6 · find part a.v in this mark scheme extract

Question Number	Define the term **break-even**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **break-even**. • When costs and revenue are the same **(1)** • When total costs are the same as total sales **(1)**	**(1)**

Question Number	Define the term **public corporation**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **public corporation** • Owned by the state/central government **(1)**	**(1)**

Question Number	State **one** benefit for *LEGO* of having a short span of control. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid benefit for having a short span of control in the context of the business. • By reducing the levels communication between the managers of the 15 factories and the Danish HQ could lead to fewer mistakes **(1)** • Allows all 18,000 world-wide employees to make suggestions about the new products **(1)** **NB** Do not accept a benefit that is not in the context of LEGO. **Accept any other appropriate response**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 7 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 · extract 4 of 6 · find part a.v in this mark scheme extract

Question Number	Calculate, to two decimal places, the cost of making the pineapple pencil holders. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 148 ÷ 115 = 1.287 **(1)** 1.287 × 100 = 128.70 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage of using questionnaires as a method of market research. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using a questionnaire, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • If the questionnaire is too long **(1)** people may be reluctant to complete them **(1)** and may not give true answers **(1)** • If there are too many questions then people may not focus properly **(1)** and this could result in a low rate of return **(1)** therefore not giving the information required **(1)** NB No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 7 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 · extract 5 of 6 · find part a.v in this mark scheme extract

Question Number	Analyse the benefits for *LEGO* of being a multinational business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *LEGO* can sell its Harry Potter toys around the world • The arts and craft materials can be produced in the most cost-effective location for *LEGO* **AO3** • This means that *LEGO*'s global market will increase compared to rivals • Thus reducing the average total cost and leading to a larger profit margin	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Change between two values, absolute or percentage

Answer 7 of 18 · Question 1 part a.v · 1 mark

2022 JUN · Paper 02 · extract 6 of 6 · find part a.v in this mark scheme extract

Question Number	State **one** financial objective for *LEGO*. **Answer**	**Mark**

Type MS · Change between two values, absolute or percentage

Answer 8 of 18 · Question 3 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **variable costs**. • Costs that vary as output levels change **(1)**	**(1)**

Question Number	Outline **one** way *Aude Rose* could extend the product life cycle of one its products. **Answer**	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Aude Rose* could extend the product life cycle of one of its products, plus 1 further mark for linking it to the context of the question. • *Aude Rose* could lower the prices of its least popular flowers **(1)** encouraging sales of that variety over other flowers **(1)** **NB** Do not accept a way that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate, to two decimal places, the percentage decrease in retained profits from 2021 to 2022. **Answer**	**Additional guidance**	Mark
3 (c)	**A02 - 2 marks** 16 260 – 12 594 = 3666/16260 x 100 **(1)** = 22.55 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Change between two values, absolute or percentage

Answer 8 of 18 · Question 3 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse the impact on *Aude Rose* of using its retained profits for this proposed development. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By using retained profit *Aude Rose* can buy the flowers straight away • Retained profit can only be used to buy a wider range of flowers if it exists **AO3** • This source of finance does not need to be paid back so any profit made from the new flowers can go back into the flower shop business • There is no guarantee that *Aude Rose* will have enough profit to buy this new range of flowers so may have to wait to accumulate more retained profits	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)

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Type MS · Change between two values, absolute or percentage

Answer 8 of 18 · Question 3 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	*Aude Rose* is considering two options: **Option 1:** hand out questionnaires to customers that visit the shop **Option 2:** using the internet to research new trends. Justify which **one** of these two options *Aude Rose* should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using questionnaires *Aude Rose* could get feedback straight away from customers when buying flowers in the shop • **Option 2** – *Aude Rose* can view a large selection of flower-based websites **AO3** • **Option 1** – The feedback might give the business more information about what the customers want from the flower shop and changes as trends develop • **Option 2** – It will be less time consuming as it can find the exact information it is looking for and compare it to the types of flowers it currently offers **AO4** • **Option 1** – However, customers may not know about the new trends so cannot give any constructive feedback on the purpose of the research being conducted • **Option 2** – However, whilst this research can give information about up-and-coming trends it gives no specific information on the demand for the new trends by its existing customers so could be a waste of time	**(9)**

4BS1/01R Summer 2023

Type MS · Change between two values, absolute or percentage

Answer 8 of 18 · Question 3 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Change between two values, absolute or percentage

Answer 8 of 18 · Question 3 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, the gross profit margin. **Answer**	**Additional guidance**	**Mark**

Type MS · Change between two values, absolute or percentage

Answer 9 of 18 · Question 1 part e · 2 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 7 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B** Social **A** - is incorrect as esteem is level 4 **C** - is incorrect as safety is level 2 **D** - is incorrect as basic is level 1	**(1)**

Question Number	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** Venture capital **A** - is incorrect as personal savings is an internal source of finance **B** - is incorrect as retained profit is an internal source of finance **C** - is incorrect as selling assets is an internal source of finance	**(1)**

Question Number	Which **one** of the following is the closing balance for the end of the month? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **B** -£8 000 **A** - is incorrect as -£28 000 because cash inflow of £28 000 minus cash outflow of 56 000 **C** - is incorrect as £48 000 because it is the opening balance of as £20 000 plus the cash inflow of £28 000 **D** - is incorrect as £84 000 because it is the cash inflow of £28 000 plus the cash outflow of £56 000	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 9 of 18 · Question 1 part e · 2 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Which **one** of the following is a reason why governments raise tax rates? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** To raise revenue to fund government expenditure **B** - is incorrect as raising taxes would put off multinationals from investing **C** - is incorrect as to higher taxes would reduce demand in the economy **D** - is incorrect as this would increase unemployment if income tax increases	**(1)**

Question Number	What would be the number of tractors sold in February 2021? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** 322,898 **A** - is incorrect because 253,706 is 288,302 minus 12% **B** - is incorrect because 300,302 = 288,302 + 12, 000 **D** - is incorrect because 322,910 = 288,302 + 34,596 +12	**(1)**

Question Number	Which **one** of the following market research methods would the shop owner use? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **B** Primary research **A** - is incorrect as market segment is not market research **C** - is not correct as research and development as it is not market research **D** - is not correct as secondary research is data that has already been collected	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 9 of 18 · Question 1 part e · 2 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Define the term **public corporation.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of public corporation. • A business owned and controlled by the state/government **(1)**	**(1)**

Question Number	Define the term **qualitative market research.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of qualitative market research. • Information about attitudes, beliefs and intentions **(1)**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 9 of 18 · Question 1 part e · 2 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 7 · find part e in this mark scheme extract

Question Number	State **one** reason why it is important for *M&M* to motivate its employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why it is important for *M&M* to motivate its employees in the context of the business. • *M&M* motivating its employees means they will work harder and take a pride in building tractors **(1)** • More motivated employees might be willing to accept new working practices after training such as the introduction of robots on the production line **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places, the percentage increase from 2019 to 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 900 – 448 = 452 **(1)** 452/448 x 100 = 100.89 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 9 of 18 · Question 1 part e · 2 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** advantage of becoming a multinational business. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of a business becoming a multinational plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • A multinational business has a global supplier base **(1)** that is able to supply a range of components/products **(1)** and this could increase revenue **(1)** • Multinationals operate in many different countries **(1)** this makes the movement of products easier **(1)** as trade barriers are reduced **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 9 of 18 · Question 1 part e · 2 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 7 · find part e in this mark scheme extract

Question Number	Analyse the disadvantages to *M&M* of using social media. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Negative comments can be put on social media about the quality of *M&M*'s tractors • Not everyone has or uses social media, so there is no guarantee that they would see advertisements about new cars that *M&M* have made **AO3** • The comments could be made by a disgruntled customer and the comments might not be true • This could mean that a number of potential customers might not see the advertisements and would then not be able to buy the new cars	**(6)**

Type MS · Change between two values, absolute or percentage

Answer 9 of 18 · Question 1 part e · 2 marks

2023 JUN · Paper 02 (regional R) · extract 7 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Question Number	State **one** non-financial objective for *M&M*. **Answer**	Mark

Type MS · Change between two values, absolute or percentage

Answer 10 of 18 · Question 4 part a · 2 marks

2023 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 4.3 – 3.7 = 0.6 **(1)** 0.6 ÷ 4.3 x 100 = 13.95 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 10 of 18 · Question 4 part a · 2 marks

2023 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse why *IKEA* uses statements of comprehensive income to assess its business performance. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *IKEA* can study the statement of comprehensive income to see if the profit for the year has increased or has remained stable since the introduction of new beds to the range • *IKEA* can review the expenses, such as the employee bonus, made during the year to see if it can continue **AO3** • *IKEA* can then decide to either increase the range or to discontinue dependant on figures • *IKEA* can evaluate if introducing the bonus for its employees has increased production sufficiently to cover the costs	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Change between two values, absolute or percentage

Answer 10 of 18 · Question 4 part a · 2 marks

2023 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Evaluate the importance to *IKEA* of using demographic segmentation when targeting its customers. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Using demographic segmentation *IKEA* can target certain groups of people such as families with young children • *IKEA* will take into consideration the income of its customers, as this varies from country to country **AO2** • Younger families are going to need table and chairs that are reasonably priced and suitable for young children • Some customers with a larger income may want expensive looking tables and ornaments to display their wealth **AO3** • Whereas the older generation may need reliable and comfortable chairs to sit on • *IKEA* will need to take this into account when deciding what items of furniture to sell in each country **AO4** • However, not all families fit into a category and therefore *IKEA* needs to provide for all different demographics no matter where they are located • However, there is no guarantee that *IKEA*'s customers will buy what is expected of them	**(12)**

Type MS · Change between two values, absolute or percentage

Answer 10 of 18 · Question 4 part a · 2 marks

2023 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Change between two values, absolute or percentage

Answer 10 of 18 · Question 4 part a · 2 marks

2023 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Change between two values, absolute or percentage

Answer 11 of 18 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 02 · extract 1 of 8 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **D** Focus groups **A** is incorrect as published government statistics is secondary market research **B** is incorrect as a magazine article is secondary market research **C** is incorrect as internet research is secondary market research	**(1)**

Question Number	Which **one** of the following is an example of external communication? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **B** Sending a customer details of a special offer **A** Is incorrect as a presentation by the chairperson to employees is an internal communication **C** Is incorrect as a departmental meeting is an internal communication **D** Is incorrect as training sessions for new employees is an internal communication	**(1)**

Question Number	Which **one** of the following is the percentage decrease in the share price? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **C** 4.08% **A** is incorrect as 1.49 is 36.55 - 35.06 **B** is incorrect as 1.96 is 36.55 + 35.06/36.55 **D** is incorrect as 4.25 is 36.55 - 35.06 = 1.49/35.06 x 100	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 11 of 18 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 02 · extract 2 of 8 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** $5.67 **B** is incorrect as $6.48 = 0.54 x 12 **C** is incorrect as $56.25 = 54 ÷ 12 x 12.5 **D** is incorrect as $81.00 = 0.54 x 12 x 12.5	**(1)**

Question Number	Which **one** of the following would be a long-term source of finance for a sole trader? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** Personal savings **A** is incorrect as trade credit is not long term **B** is incorrect as overdraft is not long term **D** is incorrect as share capital is not available for sole traders	**(1)**

Question Number	Which **one** of the following is the break-even point? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** **A** is incorrect as it is the total revenue **B** is incorrect as it is the total costs **C** is incorrect as it is the fixed costs	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 11 of 18 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 02 · extract 3 of 8 · find part a.iii in this mark scheme extract

Question Number	Define the term **labour intensive production.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **labour intensive production.** • A production method that makes more use of labour than machines/capital **(1)**	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc.** • A group of countries that join together to protect themselves from imports from non-members **(1)**	**(1)**

Question Number	State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Kraft Heinz* prefers to train its employees using on-the-job training in the context of the business. • Employees will know the ingredients for tomato sauce and how it is made **(1)** • Employees are shown the production process of baked beans **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 11 of 18 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 02 · extract 4 of 8 · find part a.iii in this mark scheme extract

Question Number	Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 15 750 x 0.14 **(1)** = 2 205 15 750 + 2 205 = 17 955 **(1)** **OR** 15 750 x 1.14 = 17 955 **(2)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 11 of 18 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 02 · extract 5 of 8 · find part a.iii in this mark scheme extract

Question Number	Explain **one** purpose for a business of the statement of financial position. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a purpose of the statement of financial position plus 2 further marks for explaining the purpose, for a maximum of 3 marks. • By reviewing its financial position, a business can see how the business is performing **(1)** it may decide to expand further if it has the funds **(1)** by introducing new products to sell **(1)** • If a business has liabilities **(1)** it may want to find ways to reduce its expenditure **(1)** by decreasing the amount of stock it holds **(1)** **NB** No marks are awarded for a definition. Answers that list three purposes with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 11 of 18 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 02 · extract 6 of 8 · find part a.iii in this mark scheme extract

Question Number	Analyse the benefits to *Kraft Heinz* of using social media to collect market research data. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social media is now widely used by many people around the world and it enables *Kraft Heinz* to collect global data quickly about a new variety of tomato sauce they have introduced • *Kraft Heinz* can set up links with a variety of people to collect their views on the changes they have made to Mac&Cheese **AO3** • This allows *Kraft Heinz* to gather valuable data which can be used when information on a product is needed to decide on carrying on or stopping the product • *Kraft Heinz* can analyse and evaluate quickly the views made by people and then make adjustments to products if needed	**(6)**

Type MS · Change between two values, absolute or percentage

Answer 11 of 18 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 02 · extract 7 of 8 · find part a.iii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Change between two values, absolute or percentage

Answer 11 of 18 · Question 1 part a.iii · 1 mark

2023 NOV · Paper 02 · extract 8 of 8 · find part a.iii in this mark scheme extract

Question Number	State **one** task that the human resources would carry out at *Kraft Heinz* when recruiting an employee. **Answer**	**Mark**

Type MS · Change between two values, absolute or percentage

Answer 12 of 18 · Question 3 part c · 2 marks

2023 NOV · Paper 02 · extract 1 of 7 · find part c in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of public limited company. • A company whose shares are freely sold and traded in stock markets **(1)**	**(1)**

Question Number	Outline **one** impact that will come from *Kraft Heinz*'s use of robotic technology. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one impact that will come from *Kraft Heinz*'s use of robotic technology, plus 1 further mark for linking it to the context of the question. • By introducing more robots in production means that *Kraft Heinz* may see an improvement in its efficiency **(1)** which could result in lower production costs for its tins of baked beans **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz.* **Accept any other appropriate response.**	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 12 of 18 · Question 3 part c · 2 marks

2023 NOV · Paper 02 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Calculate the decrease in Waste to Landfill in metric tons for *Kraft Heinz* from 2019 to 2021. You are advised to show your workings. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 100,595 – 82,617 **(1)** = 17,978 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 12 of 18 · Question 3 part c · 2 marks

2023 NOV · Paper 02 · extract 3 of 7 · find part c in this mark scheme extract

Question Number	Analyse how *Kraft Heinz* could benefit from reducing its waste. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The environmental reputation of *Kraft Heinz* could be improved by its reduction in waste to landfill from 2019 to 2021 • By having less waste *Kraft Heinz* can reduce its production costs for the tins of baked beans **AO3** • *Kraft Heinz* has a good reputation for reducing its energy, to save the environment, which may prove attractive to people and thus they will purchase more of *Kraft Heinz*'s products • By reducing the cost of production of baked beans can reduce the price to customers thereby selling more and increasing revenue	**(6)**

Type MS · Change between two values, absolute or percentage

Answer 12 of 18 · Question 3 part c · 2 marks

2023 NOV · Paper 02 · extract 4 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Change between two values, absolute or percentage

Answer 12 of 18 · Question 3 part c · 2 marks

2023 NOV · Paper 02 · extract 5 of 7 · find part c in this mark scheme extract

Question Number	*Kraft Heinz* will need to recruit more managers to take responsibility for new production lines. It is considering two options. **Option 1:** promote existing employees **Option 2:** advertise managerial positions externally **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By recruiting employees internally *Kraft Heinz* know that the person they appoint will understand how the production of sauces works • **Option 2** – By recruiting externally, it involves going through prospective employees Curriculum Vitae's and interviewing them for the vacancy of a Production Line Manager for Mac&Cheese **AO3** • **Option 1** – There will be less time spent trying to find someone who could do the job and has the skills and knowledge • **Option 2** – Therefore *Kraft Heinz* will have spent a great deal of time carrying out the various stages from checking the Curriculum Vitae to interviewing them, to gain the right candidate for the job **AO4** • **Option 1** – However, once that person is appointed it means that there will be another vacancy either in the same department or another one requiring additional recruitment • **Option 2** – However, the external manager appointed may not have the right knowledge and experience when they actually start work at *Kraft Heinz*, which means they will have wasted a great deal of time.	**(9)**

Type MS · Change between two values, absolute or percentage

Answer 12 of 18 · Question 3 part c · 2 marks

2023 NOV · Paper 02 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Change between two values, absolute or percentage

Answer 12 of 18 · Question 3 part c · 2 marks

2023 NOV · Paper 02 · extract 7 of 7 · find part c in this mark scheme extract

Question Number	(a) Calculate, to two decimal places, the Gross Profit Margin for *Kraft Heinz* for the three months ending 25 June 2022. You are advised to show your workings. **Answer**	Additional guidance	Mark

Type MS · Change between two values, absolute or percentage

Answer 13 of 18 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 57 498 – 39 631 = 17 867 17 867 ÷ 39 631 x 100 **(1)** = 45.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 13 of 18 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Q. No.	Analyse how *TUI* could make use of the Boston Matrix to review all the different holidays it offers. **Indicative content**	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By *TUI* using the Boston Matrix they can use the 'Star' to decide which are the most profitable holidays in Turkey • *TUI* will keep a 'Cash Cow' such as a 14-day cruise experience on their books because it generates a steady flow of income for the business **AO3** • If some of the holidays or hotels in parts of Turkey are not as profitable as others, they could stop using that hotel and find another one • This will allow *TUI* to use the increased revenue to expand by offering different holiday experiences	**(6)**

Type MS · Change between two values, absolute or percentage

Answer 13 of 18 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Change between two values, absolute or percentage

Answer 13 of 18 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Q. No.	Evaluate the benefits for *TUI* of providing a quality service. You should use the information provided as well as your own knowledge of business.	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO1** • When booking a holiday, customers expect a good standard of hotels and holidays together with good service • A variety of different types of holidays and experiences are needed to encourage more customers **AO2** • If *TUI*'s holidays and experiences are good then customers are more likely to return and book further holidays and hotels • If *TUI* does not provide a variety of different opportunities for hiring a variety of cars **AO3** • They are more likely to then recommend *TUI* to their friends and family who may be encouraged to book holidays with them • They may then look at other businesses to see what type of car rentals they are offering **AO4** • However, ensuring that all customers receive a good holiday experience may be expensive in employing sufficient employees to meet their needs • However, once a poor reputation for car hire or lack of variety is gained amongst customers it is very hard to regain their loyalty	**(12)**

Type MS · Change between two values, absolute or percentage

Answer 13 of 18 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Change between two values, absolute or percentage

Answer 13 of 18 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

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Answer 14 of 18 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 01 · extract 1 of 9 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** Remuneration **A** – is not the correct answer as job enrichment is a non-financial method used to motivate employees **B** – is not the correct answer as job rotation is a non-financial method used to motivate employees **C** – is not the correct answer as autonomy is a non-financial method used to motivate employees	**(1)**

Question Number	Which **one** of the following is an example of secondary research? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is A –** Government reports **B** – is not the correct answer as a survey is a primary method of market research **C** – is not the correct answer as a focus group is a primary method of market research **D** – is not the correct answer as an observation is a primary method of market research	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 14 of 18 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 01 · extract 2 of 9 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following would increase the break-even point? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – An increase in the variable costs **A** – is not the correct answer as a decrease in fixed costs will lower the break-even point **C** – is not the correct answer as an increase in the selling price will lower the break-even point **D** – is not the correct answer as a decrease in total costs would lower the break-even point	**(1)**

Question Number	Which **one** of the following is provided by a person applying for a job? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Curriculum vitae (CV) **A** - is not the correct answer as a job description is provided to a job applicant by a business **C** – is not the correct answer as a person specification is provided to a job applicant by a business **D** – is not the correct answer as disciplinary and grievance procedures will be supplied to the successful candidate	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 14 of 18 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 01 · extract 3 of 9 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is the operating profit in 2023? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is D –** £61 000 **A** – is not the correct answer as £29 000 is the sum of cost of sales and expenses **B** – is not the correct answer as £79 000 is sales minus cost of sales **C** – is not the correct answer as £72 000 is sales minus expenses	**(1)**

Question Number	Which **one** of the following is the percentage change in the cost of material for one robot between 2021 and 2023? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 15.00% **A** – is not the correct answer as 1.30% is 1200/92000 x 100 **B** – is not the correct answer as 13.04% is 12000/92000 x 100 **D** – is not the correct answer as 86.96% is 80000/92000 x100	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder.** • Anyone with an interest in or who is affected by a business	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 14 of 18 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 01 · extract 4 of 9 · find part a.vi in this mark scheme extract

Question Number	Define the term **social enterprise.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **social enterprise.** • An organisation whose main objective is to be a benefit to society **(1)**	**(1)**

Question Number	State **one** non-current asset that *Saha* is likely to have. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a non-current asset that *Saha* may have. • *Saha* is likely to have machinery which is used to manufacture the robots used in the hospitals **(1)** • *Saha* is likely to have vehicles that are used to deliver robots to the restaurants and hotels **(1)** **NB** Do not accept a non-current asset that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 14 of 18 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 01 · extract 5 of 9 · find part a.vi in this mark scheme extract

Question Number	Calculate the total revenue from the sale of all battery packs sold by *Saha* in 2023. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** **5400 (2)** Or 1 mark for working if correct answer not given: 5 x 90 = 450 **(1)** **OR** 5 x 12 = 60 **(1)** **OR** 450 x 12 **(1)** **OR** 60 x 90 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 14 of 18 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 01 · extract 6 of 9 · find part a.vi in this mark scheme extract

Question Number	Explain **one** advantage to a business of having limited liability. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to a business of having limited liability plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • As the business exists as a separate legal entity **(1)** if the business goes into debt **(1)** this means the business owners are protected from losing their personal assets **(1)** • The business may raise large amounts of finance through selling shares **(1)** as investors only risk losing the value of their shares if the business fails **(1)** therefore the added finance will help the business to expand **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to a business of having limited liability with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 14 of 18 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 01 · extract 7 of 9 · find part a.vi in this mark scheme extract

Question Number	Analyse **two** methods of primary research that could be of benefit to *Saha* when developing its products. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Saha* could conduct interviews with current customers who use the robots in hospitals to understand how moving supplies between departments could be improved • Focus groups could be formed which include customers from restaurants and hotels to discuss potential new features of the robots **AO3** Feedback from interviews will help *Saha* design robots which are better suited to the needs of its customers based in the hospitals • The discussions in the focus groups may give *Saha* ideas on how to improve the function of the robots to meet the requirements of its customers	**(6)**

Type MS · Change between two values, absolute or percentage

Answer 14 of 18 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 01 · extract 8 of 9 · find part a.vi in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Change between two values, absolute or percentage

Answer 14 of 18 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 01 · extract 9 of 9 · find part a.vi in this mark scheme extract

Question Number	State **one** reason why branding is important to *Saha.* **Answer**	**Mark**

Type MS · Change between two values, absolute or percentage

Answer 15 of 18 · Question 1 part a.v · 1 mark

2024 NOV · Paper 02 · extract 1 of 8 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** When total costs and total revenue are the same **A** – is not the correct answer as fixed and variable costs would not break-even **B** – is not the correct answer as total costs and fixed costs would not break-even **C** – is not the correct answer as fixed costs and total revenue would not break-even	**(1)**

Question Number	Which **one** of the following is a benefit to a franchisee? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is B –** The franchisee is given support from the franchisor **A** – is not the correct answer as the franchisee can only buy from the franchisor **C** – is not the correct answer as the wage will depend on sales made **D** – is not the correct answer as it is the franchisor who has total control	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 15 of 18 · Question 1 part a.v · 1 mark

2024 NOV · Paper 02 · extract 2 of 8 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is an advantage of job production when compared to other methods of production? **Answer**	Mark
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is A** – Workers will be better motivated **B** – is not the correct answer as production speeds will be slower **C** – is not the correct answer as the unit costs will be different for each product made **D** – is not the correct answer as more training will be needed for job production	**(1)**

Question Number	Which **one** of the following would be the total amount paid by a customer for a room? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is D –** 406.25 **A** – is not the correct answer as 81.25 is 25% of the 325 **B** – is not the correct answer as 243.75 is 325 minus 81.25 **C** – is not the correct answer as 350 is 325 plus 25	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 15 of 18 · Question 1 part a.v · 1 mark

2024 NOV · Paper 02 · extract 3 of 8 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is the percentage increase in revenue from 2021 to 2022. **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C –** 209.62% **A** – is not the correct answer as 5.23% is 772.80 – 249.60 = 523.20/100 **B** – is not the correct answer as 67.70% is 772.80 – 249.60 = 523.20/772.80 x 100 **D** – is not the correct answer as 523.20% is 772.80 – 249.60	**(1)**

Question Number	Which **one** of the following is an internal source of finance for a business? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** **The only correct answer is C –** Personal savings is the only correct answer **A** - is not the correct answer as Crowdfunding is an external source of finance **B** – is not the correct answer as Loan capital is an external source of finance **D** – is not the correct answer as Venture capital is an external source of finance	**(1)**

Question Number	Define the term **job description.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job description.** • It shows the tasks, duties, roles and responsibilities for a named job **(1)**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 15 of 18 · Question 1 part a.v · 1 mark

2024 NOV · Paper 02 · extract 4 of 8 · find part a.v in this mark scheme extract

Question Number	Define the term **public corporation.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **public corporation.** • A business owned and controlled by a state/government **(1)**	**(1)**

Question Number	State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why a *Premier Inn* managers would delegate tasks to hotel employees in the context of the business. • By delegating a task, the manager gains time to carry out other tasks such as greeting guests on arrival **(1)** • Employees may feel more motivated if they are trusted with additional jobs such as restocking the vending machines in public areas of the hotel **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 15 of 18 · Question 1 part a.v · 1 mark

2024 NOV · Paper 02 · extract 5 of 8 · find part a.v in this mark scheme extract

Question Number	Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 78.09 (2) **Or** 1 mark for workings if final answer incorrect 89.25 x 0.125 = 11.16**(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 15 of 18 · Question 1 part a.v · 1 mark

2024 NOV · Paper 02 · extract 6 of 8 · find part a.v in this mark scheme extract

Question Number	Explain **one** advantage of using focus groups when carrying out market research. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of using focus groups when carrying out market research, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using focus groups researchers can talk directly to the people in the group **(1)** this means that they may get a more truthful answer **(1)** which may allow researchers to gain in-depth insights into consumers' thought, feelings and motivations **(1)** • Focus groups allow a variety of people to discuss the research being carried out **(1)** detailed notes of the discussion can be taken **(1)** which can then be used and analysed at a later date **(1)** **NB** No marks are awarded for a definition. Answers that list two advantages with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 15 of 18 · Question 1 part a.v · 1 mark

2024 NOV · Paper 02 · extract 7 of 8 · find part a.v in this mark scheme extract

Question Number	Analyse the benefits for India of these plans. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Building more hotels in India will provide greater job opportunities for the local population • The hotels will need employees with different skills such as chefs and waiters **AO3** • It will improve the overall Indian economy from increased taxes/revenue • It could reduce unemployment where the new hotels are built	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Change between two values, absolute or percentage

Answer 15 of 18 · Question 1 part a.v · 1 mark

2024 NOV · Paper 02 · extract 8 of 8 · find part a.v in this mark scheme extract

Question Number	State **one** activity carried out by the marketing functional area at *Premier Inn*. **Answer**	Mark

Type MS · Change between two values, absolute or percentage

Answer 16 of 18 · Question 3 part c · 2 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **just-in-time (JIT)**. • Produces goods/receives inventory when needed reducing the need to hold inventory	**(1)**

Q. No.	Outline **one** reason why *Rabanne* uses different methods to advertise job vacancies. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *Rabanne* uses different methods to advertise job vacancies plus 1 further mark for linking it to the context of the business. • *Rabanne* could advertise to a larger audience **(1)** giving them access to a wider pool of skills designers/dress makers **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate to **two** decimal places, the percentage decrease in current assets. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** = 30.20 **(2)** **OR** 5 952 – 8 527 = -2 575 **(1)** -2 527/8 527 x 100 **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 16 of 18 · Question 3 part c · 2 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Q. No.	Analyse the importance for *Rabanne* of using its resources effectively. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By *Rabanne* using its resources effectively by not wasting packaging material for its handbags/accessories • By *Rabanna* developing higher quality packaging for its fragrances/perfumes **AO3** • It not only saves them money but also makes them more environmentally friendly • Would reduce the number of damaged bottles of fragrances that need to be replaced , thus reducing costs	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Change between two values, absolute or percentage

Answer 16 of 18 · Question 3 part c · 2 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Q. No.	**Option 1:** increasing the number of product trials **Option 2:** increasing advertising. Justify which **one** of these two options *Rabanne* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Rabanne* introduces a variety of aftershaves for men to test and state their opinions • **Option 2** – Increasing the advertising of a new perfume for women means it could reach a much wider customer base throughout the world **AO3** • **Option 1** – Amendments can be made to the product before going into full production • **Option 2** – This could encourage more women to buy the perfume **AO4** • **Option 1** – However, because product trials are based in a limited location, the results may not be representative of all locations in all countries • **Option 2** – However, if they cannot find the perfume in a shop, then they will not be able to purchase it	**(9)**

Type MS · Change between two values, absolute or percentage

Answer 16 of 18 · Question 3 part c · 2 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Change between two values, absolute or percentage

Answer 16 of 18 · Question 3 part c · 2 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the commission a sales assistant would earn if they have sold goods valued at £850. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**

Type MS · Change between two values, absolute or percentage

Answer 17 of 18 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 · extract 1 of 6 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B - Engineering** **A** – is not the correct answer as coal mining is primary sector **C** - is not the correct answer as farming is primary sector **D** - is not the correct answer as insurance is tertiary sector	**(1)**

Q. No.	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is D – Bank loan** **A** – is not the correct answer as – selling assets is internal **B** - is not the correct answer as – retained profit is internal **C** - is not the correct answer as – personal savings is internal	**(1)**

Q. No.	Which **one** of the following is the percentage decrease in the price of a latte? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is C – 9.32%** **A** – is not the correct answer as 0.55% is 5.90 – 5.35 **B** - is not the correct answer as 2.94% is 5.90 – 5.35 x 5.35 **D** - is not the correct answer as 10.28% is 5.90 – 5.35/5.35 x 100	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 17 of 18 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part a.iii in this mark scheme extract

Q. No.	Which **one** of the following is the minimum number of owners in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - 2** **A** – is not the correct answer as 1 is not a partnership **C** – is not the correct answer as 20 is not the minimum number of people needed **D** - is not the correct answer as 50 is not the minimum number of people needed	**(1)**

Q. No.	Which **one** of the following would be the price in Rupees to be a member in India? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is A – 413.48** **B** – is not the correct answer as 1105.08 is 92.09 x 12 **C** – is not the correct answer as 4134.84 is 920.90 x 4.49 **D** - is not the correct answer as 4961.81 is 4.49 x 12 x 92.09	**(1)**

Q. No.	Which **one** of the following is an external source of finance for managing immediate cash flow problems? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D - overdraft** **A** – is not the correct answer as personal savings are an internal source of finance **B** – is not the correct answer as retained profit is an internal source of finance **C** - is not the correct answer as selling assets is an internal source of finance	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 17 of 18 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part a.iii in this mark scheme extract

Q. No.	Define the term **social enterprise.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Q. No.	Define the term **tertiary sector**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **tertiary sector**. • Provides services to consumers and other sectors of industry **(1)**	**(1)**

Q. No.	State **one** reason why *Starbucks* wants to retain its employees. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Starbucks* wants to retain its employees in the context of the business • By retaining its employees *Starbucks* does not have to train new employees on how to make the coffee it sells **(1)** • If employees remain at *Starbucks* they will become more proficient and may be promoted to a coffee master or a coffee manager **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks.* Accept any appropriate response	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 17 of 18 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part a.iii in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the estimated total revenue in 2030. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 165.7 x 1.3825 **(1)** = 229.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** disadvantage for a business of training its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business training its employees, plus 2 further marks, for a maximum of 3 marks. • Training employees takes a great deal of time **(1)** and needs existing employees to carry out the training **(1)** which can reduce the productivity of the business **(1)** • Existing employees have to be taught how to train employees **(1)** which incurs additional expense **(1)** for the business and there is no guarantee they are trained efficiently **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 17 of 18 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part a.iii in this mark scheme extract

Q. No.	Analyse the benefits for *Starbucks* of using batch production. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* uses batch production means that they can produce cakes at a lower cost per unit • It maximises the use of kitchen equipment and reduces waste of ingredients for sandwiches **AO3** • Which ensure a uniform taste and quality across all locations • This decreases production time ensuring a wide range of sandwiches for sale	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Change between two values, absolute or percentage

Answer 17 of 18 · Question 1 part a.iii · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part a.iii in this mark scheme extract

Q. No.	State **one** reason why *Starbucks* should have good communication with its customers. **Answer**	Mark

Type MS · Change between two values, absolute or percentage

Answer 18 of 18 · Question 1 part a.vi · 1 mark

2025 NOV · Paper 01 · extract 1 of 9 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C –** Sales promotion **A** – is not the correct answer as workforce planning is a role within the human resources function **B** – is not the correct answer as quality control is a role withing the production function **D** – is not the correct answer as training employees is a role in the human resources function	**(1)**

Question Number	Which **one** of the following is an example of a non-financial method of motivation? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is D –** Job rotation **A** – is not the correct answer as a bonus is a financial method of motivation **B** – is not the correct answer as remuneration is a financial method of motivation **C** – is not the correct answer as fringe benefits are financial methods of motivation	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 18 of 18 · Question 1 part a.vi · 1 mark

2025 NOV · Paper 01 · extract 2 of 9 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is a phase of the product life cycle? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A** – Introduction **B** – is not the correct answer as a cash cow is a phase of the Boston matrix **C** – is not the correct answer as a dog is a phase of the Boston matrix **D** – is not the correct answer as a star is a phase of the Boston matrix	**(1)**

Question Number	Which **one** of the following is an example of a public service provided by the government? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Police force **A** - is not the correct answer as a clothing retailer is not a public service **C** – is not the correct answer as a mobile phone provider is not a public service **D** – is not the correct answer as a grocery store is not a public service	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 18 of 18 · Question 1 part a.vi · 1 mark

2025 NOV · Paper 01 · extract 3 of 9 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is the interest charged by the bank on an overdraft of €1 400? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is B –** €168 **A** – is not the correct answer as €140 is 10% of €1 400 **C** – is not the correct answer as €1 388 is €1 400 minus 12 **D** – is not the correct answer as €1 568 is €1 400 plus 12%	**(1)**

Question Number	Which **one** of the following is the percentage change in the total costs between 2022 and 2023 **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 10.53% **A** – is not the correct answer as 0.90% is 380 000/420 000 **B** – is not the correct answer as 9.52% is 40 000/420 000 x 100 **D** – is not the correct answer as 90.48% is 380 000/420 000 x 100	**(1)**

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **primary sector.** • Businesses involved in the extraction of raw materials	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 18 of 18 · Question 1 part a.vi · 1 mark

2025 NOV · Paper 01 · extract 4 of 9 · find part a.vi in this mark scheme extract

Question Number	Define the term **shareholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **shareholder.** • Anyone who buys a share in a business **(1)**	**(1)**

Question Number	State **one** benefit to *Ocean Vibes* of using competition pricing. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Ocean Vibes* of using competition pricing. • *Ocean Vibes* may attract sales from other boat tour businesses **(1)** **NB** Do not accept a benefit that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Change between two values, absolute or percentage

Answer 18 of 18 · Question 1 part a.vi · 1 mark

2025 NOV · Paper 01 · extract 5 of 9 · find part a.vi in this mark scheme extract

Question Number	Calculate the price of the boat tour in UK pounds (£). You are advised to show your working. **Answer**	Mark
1 (e)	**A02 - 2 marks** Award 2 marks for the correct answer. £57 **(2)** OR Award 1 mark for working 60 x 0.95 **(1)**	**(2)**

Type MS · Change between two values, absolute or percentage

Answer 18 of 18 · Question 1 part a.vi · 1 mark

2025 NOV · Paper 01 · extract 6 of 9 · find part a.vi in this mark scheme extract

Question Number	Explain **one** advantage to an individual of being a sole trader. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to an individual of being a sole trader plus 2 further marks for explaining the advantage for a maximum of 3 marks. • The individual has complete control over the business **(1)** as they make all the decisions for the business **(1)** therefore decisions for the business can be made quickly **(1)** • The individual keeps all the profits **(1)** as they have no partners/shareholders within the business **(1)** which means that they can increase their personal wealth **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to an individual of being a sole trader with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Change between two values, absolute or percentage

Answer 18 of 18 · Question 1 part a.vi · 1 mark

2025 NOV · Paper 01 · extract 7 of 9 · find part a.vi in this mark scheme extract

Question Number	Analyse why *Ocean Vibes* should measure employee satisfaction. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Measuring employee satisfaction at *Ocean Vibes* will help it to retain its tour guides who operate the dolphin and bird tours • If employees at *Ocean Vibes* are satisfied, they will be motivated to provide good quality boat tours **AO3** • This will reduce recruitment and training costs for *Ocean Vibes* which may lead to higher levels of profitability • This may lead to good reviews from customers which may encourage good recommendation and increased sales	**(6)**

Type MS · Change between two values, absolute or percentage

Answer 18 of 18 · Question 1 part a.vi · 1 mark

2025 NOV · Paper 01 · extract 8 of 9 · find part a.vi in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Change between two values, absolute or percentage

Answer 18 of 18 · Question 1 part a.vi · 1 mark

2025 NOV · Paper 01 · extract 9 of 9 · find part a.vi in this mark scheme extract

Question Number	State **one** fixed cost *Ocean Vibes* is likely to pay. **Answer**	**Mark**